

Point of Central Calif., Inc. (2010) 191 Cal.App.4th 53, 63.) To support a demand for punitive damages under Civ. Code § 3294, a plaintiff must plead and prove facts demonstrating malice, oppression or fraud as defined in Civ. Code § 3294(c).

Peltz Defendants argues that although Plaintiffs' prayer seeks punitive damages, Plaintiffs fail to specify which causes of action justify such damages. Peltz Defendants further contend that not all of the causes of action allege sufficient facts to justify a request for punitive damages. However, Peltz Defendants omit Plaintiffs' seventh, tenth, and twelfth causes of action for fraud-related claims from their list of claims that allegedly do not support a prayer for punitive damages (Opp., pp. 4-5), and have not demurred to these fraud-related causes of action. Because Plaintiffs' seventh, tenth, and twelfth causes of action for fraud-related claims survive, Plaintiffs' prayer for punitive damages based on fraud survives as well.

Peltz Defendants seek to strike the portion of the fourth through fourteenth causes of action that incorporates preceding allegations by reference. However, on a motion to strike, as with a demurrer, the court reads a complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Accordingly, reading the Complaint as a whole, the Court interprets the fourth through fourteenth causes of action to include the actions and omissions detailed in the preceding paragraphs.

As to the 2nd and 3rd Causes of Action, the Peltz Defendants' Motion to Strike Punitive Damages is MOOT.

As to the first paragraph of the 4th through 14th Causes of Action, Peltz Defendants' Motion to Strike Punitive Damages is DENIED.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT OF VADIM "DAVID" KOGAN BY DEFENDANT AMERICAN CONTRACTORS INDEMNITY COMPANY

Tentative Ruling: "Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]" (C.C.P. § 435(b)(1).)

The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, "[s]trike out any irrelevant, false, or improper matter inserted in any pleading." (C.C.P. § 436(a).) "The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (C.C.P. § 437(a).)

The Complaint's prayer seeks the following against all Defendants, including ACIC: (1) general, special, and consequential damages; (2) exemplary and punitive damages; (3) disgorgement; (4) legal interest; (5) judgment on the surety bonds; (6) attorney fees; (7) costs of suit incurred; and (8) further relief as the Court deems just and proper.

ACIC argues that the Complaint alleges only two causes of action against it – the fourth cause of action for enforcement of statutory bond and the fourteenth cause of action for declaratory relief, neither of which supports Plaintiffs' prayer for damages. Specifically, Plaintiffs' fourth cause of action for enforcement of bond seeks to recover from a surety

bond from ACIC. (Complaint, ¶ 84.) ACIC contends that Plaintiffs' recovery is limited by Business and Professions Code § 7071.6(b) because the Property is not Plaintiff's personal family residence.

Business and Professions Code § 7071.6(b) provides, "Excluding the claims brought by the beneficiaries specified in subdivision (a) of Section 7071.5, the aggregate liability of a surety on claims brought against a bond required by this section shall not exceed the sum of seven thousand five hundred dollars (\$7,500). The bond proceeds in excess of seven thousand five hundred dollars (\$7,500) shall be reserved exclusively for the claims of the beneficiaries specified in subdivision (a) of Section 7071.5. However, nothing in this section shall be construed so as to prevent any beneficiary specified in subdivision (a) of Section 7071.5 from claiming or recovering the full measure of the bond required by this section." A beneficiary under § 7071.5(a) is "[a] homeowner contracting for home improvement upon the homeowner's personal family residence damaged as a result of a violation of this chapter by the licensee." (Bus. & Prof. Code § 7071.5(a).)

Here, the Complaint alleges that the Property is a "residential single-family home used for rental purposes with Airbnb." (Complaint, ¶ 17.) Plaintiffs argue that under *Protect Our Neighborhoods v. City of Palm Springs* (2002) 73 Cal.App.5th 667, 679, the short-term rental of a single-family home does not transform a property from a single family dwelling into commercial use. (Opp. 3-5.) However, *Protect Our Neighborhoods* discussed only whether the short-term rental of a home constitutes "commercial use" in the context of a zoning ordinance, and made no mention of a contractor or surety bond. (*Protect Our Neighborhoods, supra*, 73 Cal.App.5th at 678-681.) Further, on a motion to strike, as with a demurrer, the court reads the allegations of the complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Accordingly, the allegations on the face of the Complaint indicate that the Property is not a personal family residence, and as such, Plaintiffs' recovery on the bond itself cannot exceed \$7,500.00 under Business and Professions Code § 7071.6(b).

However, this limitation is insufficient to strike Plaintiffs' prayer for "general, special, and consequential damages" altogether. Further, "[w]hen a surety decides to fight a lawsuit, it can make itself liable for the costs of that litigation in excess of the face value of its bond," including attorney fees. (*Karton v. Ari Design & Construction, Inc.* (2021) 61 Cal.App.5th 734, 751-754.)

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) To support a demand for punitive damages under Civ. Code § 3294, a plaintiff must plead and prove facts demonstrating malice, oppression or fraud as defined in Civ. Code § 3294(c). Plaintiffs contend that they have pleaded fraud claims against Peltz Defendants to support their prayer for punitive damages. (Opp., pp. 7-8.) However, the Complaint does not contain any allegations to give rise to a finding of malice, oppression, or fraud against ACIC, nor do Plaintiffs assert that it does.

As for the remaining prayer for disgorgement and interest, the Complaint does not seek these remedies in the fourth or fourteenth causes of action.

ACIC seeks to strike the first paragraph of the fourth and fourteenth causes of action for incorporating preceding allegations by reference. However, on a motion to strike, as with a demurrer, the court reads a complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Reading

the Complaint as a whole, the Court interprets the fourth and fourteenth causes of action to include the actions and omissions detailed in the preceding paragraphs.

As to Defendant ACIC's Motion to Strike punitive damages, disgorgement and interest at the legal rate from the Prayer (Paragraphs 2-4), Motion is GRANTED. Plaintiffs to file an amended complaint within 20 days.

As to Defendant ACIC's Motion to Strike general, special and consequential damages, judgment on the surety bonds, attorney fees, costs of suit incurred and further relief from the Prayer (Paragraphs 1, 5-8), Motion is DENIED.

As to the first paragraph of the 4th and 14th Causes of Action, Defendant ACIC's Motion to Strike is DENIED.